



TECHNICAL ASSISTANCE REPORT

BHUTAN

Review and Diagnostic of the Fintech Regulatory Sandbox Framework

November 2025

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Acronyms and Abbreviations

AML/CFT	Anti-Money Laundering/Combating the Financing of Terrorism
BNPL	Buy Now, Pay Later
BCBS	Basel Committee on Banking Supervision
CGAP	Consultative Group to Assist the Poor
DFRS	Department of Financial Regulation and Supervision
DHI	DRUK Holding & Investments Limited
DLT	Distributed Ledger Technology
DTI	Department of Technology and Innovation
DPSS	Department of Payment and Settlement Systems
FID	Financial Intelligence Division
FSSR	Financial Sector Stability Review
IFU	Innovation Facilitation Unit
GMC	Gelephu Mindfulness City
IAIS	International Association of Insurance Supervisors
IMF	International Monetary Fund
IOSCO	International Organization of Securities Commissions
KPI	Key Performance Indicator
KYC	Know Your Customer
LoA	Letter of Admission
NDI	National Digital Identity
OCED	Organisation for Economic Co-operation and Development
RMA	Royal Monetary Authority of Bhutan
RS	Regulatory Sandbox
SC	Fintech Steering Committee
TE&CC	Technical Evaluation and Coordination Committee
TOR	Terms of Reference
UAE DFSA	United Arab Emirates - Dubai Financial Services Authority
UK FCA	United Kingdom Financial Conduct Authority
USDC	US Dollar Coin

Preface

At the request of the Royal Monetary Authority of Bhutan (RMA), the Monetary and Capital Markets Department (MCM) conducted a mission to review and strengthen Bhutan's fintech regulatory sandbox (RS) framework. The mission was held from August 25 to September 2, 2025, in Thimphu, Bhutan.

The mission focused on assessing the RS framework's alignment with Bhutan's digitalization strategy, its capacity to support financial innovation, and its effectiveness in regulatory oversight. The mission also included a two-day capacity development workshop to strengthen the RMA staff's expertise in managing the RS's operations and fintech regulation, supervision and oversight.

The mission thanks Governor Ms. Yangchen Tshogyel, and the staff of the RMA Department of Technology and Innovation (DTI) for their kind hospitality and open collaboration throughout the project.¹

¹ We are particularly grateful for the efforts of Governor Ms. Yangchen Tshogyel, Mr. Sherab Jamtsho, Ms. Jhuma Lhazay, Mr. Tshering Tobzang and Mr. Thinley for their collaboration throughout the project and Elisabeth Wallace from UAE DFSA and Simran Singh from UK FCA for sharing their experience with their RS arrangements.

Executive Summary

At the request of the Royal Monetary Authority (RMA) of Bhutan, the IMF conducted a technical assistance mission from August 25 to September 2, 2025, to review and strengthen Bhutan's fintech regulatory sandbox (RS) framework. The mission assessed the RS's alignment with Bhutan's digital transformation goals, its capacity to foster innovation, and its effectiveness in regulatory oversight. A two-day capacity-building workshop was conducted to enhance RMA staff's ability to manage the RS and regulate emerging fintech² innovations.

The RMA has made significant institutional progress in establishing the regulatory sandbox framework. Despite limited resources, the RMA has developed initial governance structures, operational processes, and stakeholder networks from scratch. This foundational work provides a platform for the enhancements recommended in this report to enable effective sandbox operations.

Bhutan's digital financial ecosystem has made notable progress in advancing economic digitalization and financial inclusion. Key developments include the widespread adoption of mobile banking, QR-based payment systems, and digital wallets, which have extended financial services to rural and underserved populations while promoting a cashless economy. However, gaps remain in fostering a more collaborative and dynamic ecosystem. Limited partnerships among banks, financial institutions, and innovators have constrained the ecosystem's ability to drive impactful innovation and sustainable growth.

The RS framework, intended to support and regulate fintech innovation, faces critical challenges that hinder its effectiveness. These include unclear strategic objectives, fragmented governance, and limited operational focus. Poor interdepartmental coordination, resource constraints, and the absence of a formal risk tolerance framework expose the RS to both systemic and reputational risks. Furthermore, limited engagement with ecosystem stakeholders and the lack of live testing have restricted its ability to foster meaningful innovation.

The mission recommended realigning the RS with RMA's strategic priorities of financial stability, market development, and financial inclusion. Key actions include narrowing the RS's scope to cover regulated activities requiring licensing, clarifying governance roles and responsibilities, and introducing a formal risk management framework. The RS should adopt clear eligibility criteria, robust exit strategies, and complementary tools such as innovation hubs and tech sprints to support early-stage fintech development.

Strengthening collaboration with banks, financial institutions, and Government Technology (GovTech) Agency of Bhutan is critical to aligning the RS with Bhutan's broader digital transformation goals. Targeted capacity-building programs and regional partnerships are essential to

² Fintech refers to technologically enabled innovation in financial services that could result in new business models, applications, processes, or products with an associated material effect on financial markets and institutions, and the provision of financial services.

equipping the RMA with the expertise needed to supervise emerging fintech innovations and foster ecosystem development.

Immediate steps are also required to address legal and reputational risks, particularly regarding the admission of RS participants without a clear legal mandate and concerns related to data sharing. Exploring partnerships with regulated institutions could help mitigate these risks while ensuring greater confidence in the RS framework.

By implementing these recommendations, Bhutan can enhance its fintech ecosystem and regulatory sandbox, fostering a more innovative, sustainable, and inclusive financial environment. These findings will also contribute to Bhutan's Financial Sector Stability Review, scheduled for later this year.

Recommendations

Table 1. Recommendations

	Topic	Paragraph No.	Timeline
1.	The RMA should begin by identifying its supervisory priorities and ensuring that innovation priorities align with its strategic goals of financial stability, market development and inclusion.	89-90	ST
1a.	Realign RS priorities to RMA's strategic priorities.	29	MT
1b.	Narrow the RS's scope and limit to activities requiring licensing.	29	ST
1c.	Reassess the RS objectives to ensure they are specific, measurable, and aligned with the RS's intended purpose.	38	MT
2.	Once supervisory priorities are set, the RMA should conduct a feasibility study to assess the suitability and scope of the RS program.	91-94	ST
3.	Following the feasibility study, and to strengthen the RS's structure and functionality, RMA should reorganize the governance structure to clarify ownership and responsibilities while separating governance from operational roles.	95-96	MT
3a.	Limit SC's role to strategy and high-level recommendations.	51	MT
3b.	Limit TE&CC's role to application reviews.	55	MT
4	Rebrand the RS program to "Innovation Facilitation Program " and complement the RS with other innovation facilitation tools.	98-102	ST
4a.	Establish a legal mandate and create a new RS dedicated oversight role.	36	ST
4b.	Establish a dedicated team with full-time staff from key departments. Clear roles must be defined, with the SC focusing on strategy and the TE&CC managing applications.	43	ST
4c.	A reasonable fee structure should be introduced to ensure financial sustainability and discourage riskier applicants.	47	MT
4d.	Establish a formal risk tolerance framework.	59	MT
4e.	Refine and publish eligibility criteria to include character and fitness and operational readiness.	62-63	MT

4f.	Align TOR principles to the RS Framework's eligibility criteria.	65	MT
4g.	Establish and disclose clear testing restrictions.	68	MT
4h.	Develop a comprehensive set of standardized RS procedures.	72	MT
4i.	Define clear exit pathways.	75	MT
4j.	Establish a post-implementation evaluation framework to assess RS program effectiveness and impact	72	MT
5.	Collaboration with banks and financial institutions should be a cornerstone of the RS program and undertaken in parallel with governance reorganization and rebranding efforts.	103-104	ST
6.	In addition to the governance restructuring, RMA should strengthen its collaboration with GovTech.	105-106	ST
7.	Develop regional and cross-border collaboration, and engagement with standard-setting bodies.	107-109	MT
8.	To foster a culture of innovation, RMA should implement a RS focused comprehensive capacity development program focused on fintech specific and innovation in general.	110-113	MT

ST= short term, 6–12 months; MT= medium term, 12–24 months

Introduction

1. The RMA requested the assistance of the IMF in conducting a diagnostic review of the RMA's RS, called FinTechBhutan,³ to (1) Evaluate the RS's alignment with Bhutan's broader digitalization goals, (2) Assess the regulatory and operational effectiveness, and provide actionable recommendations for strengthening the framework. More specifically, the mission focused on:

- Conducting a two-day in person RS capacity development program for RMA Bhutan staff involved in the RS process, covering regulatory approaches to fintech, RS frameworks and innovation hubs, testing frameworks with best practices, benchmarks and case studies.
- Reviewing the existing fintech RS framework of RMA Bhutan, assessing its capacity, functionality, governance, alignment with RMA Bhutan's digitalization strategy, role in evaluating the regulatory perimeter and new business models, and its effectiveness in horizon scanning for emerging trends and risks.
- Engaging with stakeholders, including the central bank staff from different departments, financial institutions, past and current RS cohort participants, and the GovTech to identify gaps and areas requiring additional resources, capabilities, or policy adjustments in the RS framework.
- Performing a high-level diagnostic assessment of the Bhutan financial sector and supervisory structures to provide recommendations for enhancing the RS's effectiveness.

2. The IMF visited Bhutan from August 25 to September 2, 2025, to provide RS training and discuss institutional arrangement and supervisory practices for fintech with stakeholders. The team provided 2-days of on-site RS training to the Deputy Governor's Office, staff from various departments - Technology and Innovation (DTI), Financial Regulation and Supervision (DFRS), Legal Unit, Payments and Settlement Systems (DPSS), and Financial Intelligence (DFI); an insurer; and representatives from four of the five domestic banks. The training covered key regulatory and supervisory concepts on fintech in general and those relevant to RS, broader institutional arrangements that RS support, the benefits and risks of such arrangements, as well as the experiences of regulators globally in operating such arrangements. United Kingdom Financial Conduct Authority (UK FCA) and United Arab Emirates - Dubai Financial Services Authority (UAE DFSA) supported the training virtually by sharing their experiences. In addition, bilateral in-person meetings were held between the IMF and each of RMA's departments/units, the RS steering and technical committees, four domestic banks, a domestic telecom provider, one insurer, Bhutan Development Bank, GovTech,⁴ Thimphu Tech Park, Druk Holdings and Investments (DHI) and three RS participants.

³ <https://www.fintechbhutan.bt>

⁴ Government Technology (GovTech) Agency in Bhutan is the successor to the Department of Information Technology and Telecom (DITT), which was a Ministry-level body for some time, not a separate "Ministry of Information Technology". The GovTech Agency was established in December 2022, as part of the Civil Service Reform Act of 2022, with the core mandate to lead the country's digital transformation

3. This report reflects the main findings and recommendations from the August – September 2025 mission to Bhutan. It is based on the information the mission obtained during the meetings with the authority and the private sector, as well as from off-site research and regulatory documentation.

I. Purpose and Structure of RMA Regulatory Sandbox

4. **The RS is a globally adopted tool by financial supervisors, balancing foundational objectives like financial stability and consumer protection with the need to foster innovation.** An RS provides regulators with a controlled environment to monitor innovative solutions prior to their wider market adoption, allowing them to assess risks, benefits, and compliance in a structured manner. Beyond financial stability and consumer protection, RS also aims to promote innovation, enhance market competition, improve financial inclusion, test regulatory frameworks, and facilitate collaboration between regulators, startups, and financial institutions.

5. **In June 2020, the RMA launched its RS by publishing the “RS Framework.”**⁵ The RS was designed to test innovative, tech-enabled financial products and services built on emerging technologies such as artificial intelligence (AI), distributed ledger technologies (DLT), and application programming interfaces (APIs). The framework provides a platform for startups and established entities to gain ‘clarity around applicable rules and regulations related to a new digital solution that does not easily fit into the existing regulatory framework’ fostering economic growth, financial inclusion, innovation, and resilience within Bhutan’s fintech ecosystem.

6. **The RS framework was internally developed by the DTI** through benchmarking against a few RS frameworks in neighboring jurisdictions. Following the first cohort, organizational changes and lessons learned highlighted the need for a structured implementation strategy. In response, the RMA issued the “FinTech Regulatory Sandbox Implementation Strategy,” in 2024⁶ which serves as a guide for managing the RS.⁷ This strategy outlines processes for sensitization, cohort management, evaluation mechanisms, and project timelines. By defining these aspects, the implementation strategy ensures clarity and consistency in RS operations. The RS framework aligns with Bhutan’s GovTech Digital Strategy: Intelligent Bhutan, as outlined in Clause 4 of Section 4.2 (Adoption of Technologies) in the Bhutan Digital Economy Strategy (2023).⁸ Specifically, the RS supports objectives under Clause 4.2.4, which emphasizes a fintech strategy focusing on a ‘multi-channel robust digital payment system and digital currencies’.

7. **In August 2025, RMA launched its newest initiative, FinTech Lab.** According to the RMA’s “FinTech Regulatory Sandbox Implementation Strategy,” (2024) ⁹ the purpose of Fintech Lab is to provide platform (with connectivity, integration, data access, storage, and server infrastructure) to facilitate testing and collaboration/engagement between RS participants, domain experts, and the TE&CC

⁵ [FinTech Regulatory Sandbox Framework \(June 2020\)](#)

⁶ First version of the strategy document was issued in 2022 followed by a revised strategy in 2024.

⁷ Issued in 2022 and then revised in 2024 due to internal changes

⁸ UNDP Bhutan. Digital Development and Transformation Strategy. May 2024. Source: https://www.undp.org/sites/g/files/zskgke326/files/2024-05/UNDP_Bhutan%20Digital%20Development%20and%20Transformation%20Strategy.pdf.

⁹ [FinTech RS Implementation Strategy 2024; page 6](#)

team. The lab is new, and information is limited, however, based on discussion with RMA staff, a dedicated head count has been allocated for the lab and the lab will provide necessary support for testing under the RS.

8. In addition to the framework and implementation strategy, the DTI developed internal terms of reference (TOR) to operationalize these processes. These TOR further strengthen the RS's administration by providing detailed guidance on its day-to-day operations, ensuring alignment with the RMA's broader strategic goals. Despite a formalized framework, implementation strategy, and committee TORs, many of the operational processes remain informal. For example, committee meetings do not occur on a formalized cycle, industry engagement is not formalized for cycle or purpose, and assignment of supervisory staff to specific RS applicants is done case-by-case basis.

9. The RS was intended to create a collaborative, risk-controlled environment for engaging with relevant innovative entities. There is no evidence of a particulate mandate from the government, or any government agency (e.g. GovTech) to create the RS. It was authorized by the RMA Board of Directors and is managed by the DTI, with support from other departments of the RMA. The RS's operations are overseen by two key committees: the high-level FinTech Steering Committee (FinTech SC) and the Technical Evaluation and Coordination Committee (TE&CC). The FinTech SC provides overall strategic guidance and leadership and comprises the Deputy Governor of the RMA; Executive Directors of respective departments (DTI, DFRS, DPSS and DFI) and Chief of the Emerging Technology Division, Govtech; while the TE&CC evaluates fintech applications, mentors' participants, and facilitates access to resources. Membership in TE&CC includes representatives from DTI, other RMA departments, GovTech, and two banks.

10. The RS aims to grow Bhutan's fintech ecosystem, enhance regulatory understanding of fintech's role in financial inclusion, educate innovators, and assess the benefits and risks of fintech solutions. These insights aim to develop innovation-responsive and enabling regulations that improve the quality, efficiency, and accessibility of financial services.

11. The RS operates through a structured application and monitoring process overseen by the SC and TE&CC. Applicants submit proposals that undergo assessment by the TE&CC based on criteria including innovation potential, consumer benefit, and risk management capabilities. The TE&CC makes recommendations to the SC, which provides strategic oversight and final approval decisions. Upon approval, participants enter the sandbox for a testing period of six months, subject to extension, during which they operate under specific conditions and regulatory relaxations tailored to their use case. The TE&CC monitors participants throughout the testing phase, requiring regular reporting on key performance indicators, risk metrics, and compliance with sandbox conditions. At the conclusion of the testing period, the TE&CC evaluates outcomes and makes recommendations to the SC regarding graduation to full authorization, extension of testing, or exit from the program. However, as detailed in subsequent sections, the current operating model faces challenges related to unclear entry and exit criteria, inconsistent monitoring frameworks, ambiguous processes for transitioning from sandbox to full market authorization, and unclear delineation of responsibilities between the SC and TE&CC.

12. To date, the RMA has successfully onboarded two testing cohorts; however, no live testing has been conducted. The first cohort included three Bhutan-based participants offering solutions such as a natural language processing financial crime analytics tool, an audible mobile currency

denomination reader for facilitating digital KYC, and a credit scoring model. None of these participants successfully transitioned to full-scale operations. All three entities discontinued operations following the testing period and the individual promoters have since expatriated to Australia to take advantage of career opportunities. While none of the first cohort participants achieved full market deployment, this outcome must be understood in the context of extraordinary circumstances—the COVID-19 pandemic and unprecedented emigration of skilled professionals from Bhutan (see Paragraph 85)—which created exceptional challenges for business continuity that were largely beyond the control of the sandbox framework. The second cohort, currently in progress, includes six participants working on solutions such as a supervisory technology (suptech) tool, a financial crime regulatory monitoring solution (suptech), two alternative credit assessment tools, an offline payment system, and an open-loop multi-purpose payment card. As of now, none of the current cohort participants have conducted live testing with real customers. Additionally, no offline customer data has been provided by banks to onboarded participants in the RS, nor have any APIs been created to grant applicants access to customer banking data, as envisioned by RMA for testing purposes.¹⁰ The two supposedly suptech models are software development projects that are not intended to ever result in live testing by engaging with real customers. While regtech and suptech represent valid innovation as recognized by the IMF's Fintech Note 2023/004, their procurement-oriented testing requirements differ from consumer-facing products, suggesting alternative mechanisms like tech sprints to be more appropriate (discussed in Section V.D). The remaining four participants are all only at the proof-of-concept stage. The outcomes of these two cohorts highlight both the successes and challenges of the RS framework, underscoring the need for continuous refinement of its design and implementation.

13. To date there has not been any RS monitoring/supervision or reporting to assess. Because none of the applicants have yet to engage in a live test with real customers, it cannot be determined whether the RS framework or implementation strategy have been effective in producing the intended outcomes.

¹⁰ This was understood based on responses to pre-mission questionnaire received from RMA and confirmed during bilateral meetings with different departments and even banks who had been approached by RMA for providing bank customer data for testing in RS by shortlisted applicants.

II. Bhutan Fintech Landscape

14. Bhutan's financial sector, though small, is a cornerstone of economic development but requires digital innovation to unlock its full potential. The financial sector comprises six commercial banks, three insurance companies, one reinsurance firm, a pension fund, one stock exchange which together account for over 80 percent of total financial assets. The capital market remains underdeveloped, with a market capitalization of Nu. 59 billion (21 percent of GDP in 2024), reflecting the need for diversification and digital innovation to unlock further growth.

15. Commercial banks are driving Bhutan's digital transformation through mobile and internet banking platforms that is making financial services faster, more convenient, and more inclusive. Commercial banks have been central to Bhutan's digital transformation, with mobile banking platforms such as mBoB and MPay enabling real-time fund transfers, bill payments, and merchant transactions. The launch of Digital Kidu Bank (DK Bank), owned by state-run DRUK Holdings, marked a significant milestone as Bhutan's first fully digital bank, offering mobile-first services including real-time fund transfers, savings accounts with no minimum balance, and loan applications.¹¹ These innovations are making financial services more accessible, particularly for underserved populations, though its regulatory and supervisory framework continues to evolve.

16. Digital wallets offered by banks are supporting Bhutan's transition to a cashless economy by extending financial services to underserved and rural populations. Digital wallets offered by banks are supporting Bhutan's transition to a cashless economy by extending financial services to underserved and rural populations. Bank-offered e-wallet transactions have experienced substantial growth in both volume and value over recent years, reflecting increasing digital payment adoption across the country. Separately, RMA has been proactive in supporting digital payments innovation by granting e-money licenses to key players like Bhutan Telecom and Tashi InfoComm. However, e-money providers, which are telecom companies, have faced challenges in achieving adoption comparable to bank-offered wallets. RMA is currently reviewing its e-money regulatory framework to address identified limitations.

17. QR-based payment systems are accelerating Bhutan's shift toward a cashless economy. QR-based payment systems, particularly Bhutan QR (BQR), have significantly accelerated the adoption of digital payments across merchant transactions and consumer spending. The consistent growth in mobile banking, internet banking, QR-based systems, and e-wallets underscores Bhutan's rapid digital transformation and commitment to financial inclusion.

18. Bhutan has addressed cryptocurrency activities through targeted regulatory approaches tailored to specific proposals for the domestic market. In May 2025, RMA approved DK Bank's partnership with Binance Pay to enable tourists to make merchant payments using US dollar coin (USDC). While these initiatives demonstrate regulatory flexibility in response to emerging opportunities,

¹¹ As intimated by IMF APD, the DK bank has a division, ORO Bank, which is the official bank of the GMC. That division handles operations with non-residents. We understand that the intention is that Oro will eventually be registered in the GMC, albeit they face several challenges—including relying on Bhutan's swift codes.

they operate under ad-hoc arrangements rather than within a comprehensive cryptocurrency regulatory framework.

19. Cross-border payment infrastructure is expanding to facilitate seamless international transactions. Cross-border payment infrastructure has been strengthened through integration with India's IUPI QR Codes, which allow Indian tourists to use PhonePe and GPay for payments in Bhutan, and RuPay cards, which enable cross-border usage between India and Bhutan. Additionally, Bhutan has integrated with China's UnionPay, Japan's JCB system, and is part of the SWIFT network, enabling secure international remittances globally.¹² However, cross-border payment systems face operational challenges, including relatively high transaction failure rates, which will require continued infrastructure development and refinement to ensure reliability and efficiency.

20. Bhutan's National Digital Identity system aims to streamline access to financial services while ensuring security and privacy. Bhutan's National Digital Identity (NDI) system, based on Self-Sovereign Identity principles and blockchain technology, is under final testing and aims to enable secure, remote access to financial services while streamlining know your customer (KYC) processes.¹³ The system is still under final testing and alignment, and regulatory alignment is also needed to make it fully functional.

21. Bhutan's digital transformation is guided by Gross National Happiness principles, ensuring technology serves broader societal well-being. Bhutan's commitment to digital transformation is rooted in its vision of sustainability and inclusivity, guided by the principles of Gross National Happiness (GNH). By fostering innovation, expanding financial access, and building supportive infrastructure and regulatory frameworks, Bhutan is creating a financial system that balances economic growth with social equity and environmental stewardship.

22. Meanwhile private sector initiatives demonstrate the potential of collaborative partnerships to drive digital innovation. Private sector initiatives, such as Bhutan Insurance Ltd's (BIL) collaborative R&D hub called BIL Innovation Lab, demonstrate the potential of public-private-academic partnerships to drive digital transformation. The lab engages students and IT developers and is currently exploring solutions such as eKYC systems, digital lending applications, blockchain-based DAOs for farmers, and loyalty incentive programs.

23. The growth of digital financial services highlights the potential need for regulatory innovation mechanisms like a regulatory sandbox. The rapid growth and diversification of digital financial services underscore the potential future demand for regulatory innovation mechanisms such as a regulatory sandbox. As Bhutan's fintech ecosystem continues to expand across payments, digital banking, digital identity, and emerging technologies, a sandbox framework could provide a controlled environment for testing innovative solutions while managing associated risks.

¹² Annual Payment Systems Report 2024, Page 43 (iUPI Payments); Page 38 (RuPay Acquiring); Annual Supervision Report 2023, Page 48 (Regional Payment Channels).

¹³ GovTech Digital Strategy: Intelligent Bhutan (2024) – Page 25 (Section 6: NDI Strategy); UNDP Digital Economy Development and Transformation Strategy (2023) – Pages 21–22; The Current State of Financial Inclusion in Bhutan (2022) – Page 5 (Section on Reforms and Regulations)

24. The Financial Sector Stability Review (FSSR) will provide comprehensive diagnostic on the digital financial services in Bhutan to guide future policy and technical assistance. The ongoing FSSR will provide a comprehensive diagnostic of Bhutan's digital financial services landscape, including confirmed workstreams on regulation and supervision (banks, NBFIs and digital financial services) and payment systems. This broader diagnostic work will inform policy recommendations and potential technical assistance in these areas.

25. Lastly, the Gelephu Mindfulness City (GMC) represents Bhutan's ambitious vision to harmonize onshore and offshore financial frameworks.¹⁴ GMC, a Special Administrative Region, adopted Singapore Common Law and specific Abu Dhabi Global Market (ADGM) financial services and market regulations on December 26, 2024, under GMC Law No. 1 of 2024. Schedule B of the law specifies the ADGM regulations that were adopted.¹⁵ Until GMC's financial services regulator becomes fully operational, RMA continues to provide licensing and supervision support, aligning with the King of Bhutan's vision of ensuring that both onshore and offshore financial frameworks are harmonized to create a cohesive and robust financial ecosystem.¹⁶

¹⁴ <https://gmc.bt/GFSO>

¹⁵ As informed by IMF APD

¹⁶ Bhutan's "Diamond Strategy" is a visionary, 10-year plan to transform the country into a high-income nation by 2034, balancing economic growth with its core philosophy of Gross National Happiness (GNH). Unveiled by the King of Bhutan in December 2024, the strategy uses the Gelephu Mindfulness City (GMC) as an economic catalyst to drive nationwide reforms. Based on a "One Country, Two Systems" approach the GMC will serve as a testbed for new ideas before they are implemented across the country, creating a blueprint for resilient, climate-conscious urban development. After a 10-year period, successful innovations from the GMC will be mirrored across the rest of Bhutan to create a unified system. This convergence will be supported by parallel national reforms in key areas.

III. Assessment of the RMA's Regulatory Sandbox Framework

26. This section provides a detailed analysis of the RMA RS's framework and structure. It evaluates its objectives, risk tolerance, focus, resource allocation, governance structure, inter-departmental coordination, and alignment with strategic priorities. Additionally, it identifies gaps, overlaps, and inefficiencies, offering actionable recommendations to improve the RS's effectiveness and sustainability.

A. Focus and Purpose of the RS

27. In its RS Framework, the RMA identified 12 types of activities—both regulated and non-regulated—that were deemed suitable for testing. However, this broad scope has resulted in the inclusion of an overly diverse group of business models, many of which are not appropriate for a RS. For instance, in the first cohort, tests included a mobile application that audibly read out fiat currency denominations and a credit scoring model. Neither of these activities involves regulated financial services, which limit the applicability of the RS's mechanisms. Similarly, in the second cohort, a financial crime analytics tool was admitted in sandbox for testing by the Department of Financial Intelligence (DFI) to enhance its capabilities—an activity that resembled the procurement of a supotech solution rather than a RS test. Another cohort applicant included an entity testing an open-loop stored value card, which was primarily focused on addressing limitations in the RMA's e-money rules.

28. Given the RMA's limited resources and the small scale of Bhutan's domestic market, the RS's scope must be carefully targeted. Participation should be restricted to entities requiring regulatory licenses post-RS testing, ensuring RMA's resources are focused on activities that provide clear regulatory and public policy value. Themed cohorts aligned with the Bhutan Digital Strategy and national innovation priorities could further improve focus. Non-regulated solutions could be tested in partnership with licensed entities to leverage existing infrastructure.

29. Recommendation: The RMA should narrow the RS's scope to regulated activities requiring licensing, conduct themed cohorts aligned with strategic priorities, and strengthen engagement with the financial sector to align the RS's focus with industry needs and capacities.

B. Addressing Overlaps and Gaps: The RS as a Reactive Mechanism

30. The RMA RS has become a reactive mechanism, driven by market responses rather than aligned with its strategic priorities. This ad-hoc approach has resulted in overlaps with existing regulatory functions, insufficient due diligence in assessing true innovation, and the premature inclusion of projects. Additionally, some solutions bypass the RS entirely, raising concerns about regulatory oversight and systemic risk mitigation. The current six RS cohort participants highlight these challenges:

- **Timble Glance:** Aimed to automate Suspicious Transaction Indicators (STI) and integrate with RMA systems. The project while automating existing bank processes (STRs and CTRs) lacked any

innovation or broader market evaluation. It could have been implemented directly by the DFI. This is a technology development project as opposed to an RS test.

- Yangkor Pvt Ltd + Movmint (Offline Payments): Proposed offline payments but faced regulatory barriers under current e-money rules. The project lacked analysis of market needs and relied on operational strategies (e.g., cashback and API connections) rather than innovation. Regulatory reforms are needed to facilitate this solution.
- Thimphu TechPark (Interoperable Card): Proposed an open loop interoperable card for transportation and payments but does not meet licensing criteria under e-money rules. The project remains conceptual with lack of clarity on the revenue model due to RMA's regulatory restrictions on fees being charged for payments. Further, the DPSS does not have sufficient evidence to assess the feasibility and need of this solution to justify regulatory amendment. This is in a very initial proof-of-concept phase, as opposed to prototype ready for live RS test.
- IRIS Business Services Limited: Proposed solution to monitor high credit borrowers and track cross-institution borrower history tracking. This is a technology development project to close the gap where the credit rating bureau in Bhutan does not monitor the credit activity of high credit borrowers.
- iTechnologies Private Limited, Bhutan: Proposed as a Buy Now Pay Later (BNPL) business model. However, the goal of the applicant for entering the RS was to obtain bank data sets from the RMA to conduct alternative credit analysis on a random set of domestic banks' client base. The expectation was that after developing the credit rating model, the project would be distributed to an industry incumbent to support its BNPL business, hence the project was promoted as a BNPL business model, but it currently is not. This is a technology development tool.
- D-Pay, Bhutan: Proposed to use AI/ML to analyze the repayment stability of small merchants for the purpose of offering collateral-free loans. The entity has not identified any customers with which to test and has not been able to obtain data sets. The project remains at the technology development stage and is also limited by RMA regulatory restriction on offering collateral-free loans in Bhutan to local population.

These cases highlight the RS being utilized more as a ground for developing proofs of concepts and technology development rather than for operationally ready innovative financial service solutions.

31. The RS's reactive approach has led to overlaps with existing mandates, with projects often duplicating functions like fraud detection or transaction monitoring already handled by other departments. This redundancy diverts resources from core regulatory activities. Additionally, insufficient due diligence in assessing market needs has allowed projects without clear demand or urgency—such as offline payment solutions or interoperable cards—to enter the RS. While these projects may serve legitimate policy objectives for financial resilience and inclusion, their characterization by RMA as "essential" and addressing "critical systemic needs" raises questions about whether the RS, designed for testing innovative and uncertain solutions, is the appropriate mechanism. Finally, the premature acceptance of projects that are not regulatory-ready has exposed governance gaps, as seen in cases requiring policy reforms or licensing amendments before meaningful testing can occur. These issues highlight the need for a more proactive and strategic RS framework need for clearer criteria distinguishing when to use the RS versus other regulatory pathways (See Paragraph 99-100 below under recommendations section V).

32. Recommendation: The RMA must realign the RS by prioritizing projects with clear innovation and regulatory relevance, establishing stricter admission criteria, and ensuring alignment with strategic priorities. A proactive framework is essential to address systemic risks and enhance regulatory oversight.

C. Role of DTI

33. The RS is owned and managed by DTI, which spearheaded its establishment in 2020 following the RMA Board's approval. However, DTI's technology-focused mandate is already expansive without the added supervisory responsibility that comes with operating a RS. DTI's primary responsibilities include developing regulatory policies for innovation, conducting research and development (R&D), strengthening cybersecurity, and implementing interoperable payment systems. While these objectives align with fostering technological innovation, they leave little room, in terms of capacity, to also conduct the required level of supervisory monitoring of RS participants.

34. The RS's focus on testing business models, products, and services with live customers creates a fundamentally different and substantially increased burden to the DTI's mandate. DTI has done a commendable job at creating a framework, TORs, and processes to support the approval and on-going monitoring/supervision of RS participants, such as creating the scoring sheet that TE&CC uses to assess applicants, creating the fintech key performance indicators (KPIs) for ongoing monitoring, and establishing eligibility principles. However, the core ongoing supervisory tasks of assessing governance structures, monitoring for regulatory compliance, assessing risk and control programs, etc. fall outside the DTI's scope and are more appropriately handled by supervisory departments like the DFRS or DPSS.

35. There is no evidence that the RMA has a clear legal mandate to operate a RS. The board memo establishing the RS and the letters of admission (LoA) neither explicitly outlines its legal basis nor clarify the enforceability of RS-related activities. This ambiguity limits the authority of the RMA over non-licensed RS participants (i.e. those issued a LoA) and raises questions about its ability to manage regulatory risks effectively.

36. Recommendation: The RMA must establish a legal mandate to enable it to exercise its regulatory powers over non-licensed entities operating in the RS. It is also recommended that RMA create a new role dedicated to the operation of the RS and wider innovation facilitation program. See Annexures II and III.

D. Objectives

37. The objectives of a RS should be narrowly focused, realistic, and measurable to ensure alignment with the regulator's mission and priorities. The RMA has defined six objectives for its RS, but many are overly broad and lack clarity or measurable outcomes. This raises questions about whether it is realistic for the RMA to achieve all six objectives simultaneously. For instance, the objective "to educate aspiring innovators and firms to develop their knowledge and skills in the FinTech [sic] field" places an unrealistic educational mandate on the RS. Such an objective is better suited to an Innovation Hub or Office, as it does not align with the RS's core purpose of testing innovative financial solutions. Similarly, the objective "to assess a FinTech [sic] for its innovation, features, functionalities, and risks

before its release for widespread market adoption...” overlaps with pre-RS eligibility reviews and is more appropriate for innovation support mechanisms other than a RS.¹⁷

38. Recommendation: The RMA should reassess its RS objectives to ensure they are specific, measurable, and aligned with the RS’s intended purpose. Objectives unrelated to product testing should be excluded or reassigned to other mechanisms, such as an innovation hub.

E. Inter-Departmental Coordination and Staffing

39. The RS depends on inter-departmental coordination, but this has proven to be a significant challenge. Each department supports the RS in alignment with its primary mandate. For example, the DTI manages innovation initiatives, the DPSS oversees PSP licensing and oversight, and the DFRS provides licensing and supervisory input for all licensed entities. However, the lack of clear roles and responsibilities among departments, as they relate to the RS, has led to fragmented efforts and inefficiencies.

40. Staffing data highlights these challenges. While the DTI has 18 staff members, one staff member is dedicated to the RS. Similarly, the DPSS and the DFRS have limited resources allocated to RS activities, with most contributions occurring on an ad hoc basis. The DFI which plays a critical role in ensuring AML and KYC compliance, has no dedicated RS staff, despite its importance in maintaining systemic integrity and currently handholding one RS applicant.

41. The Legal Unit’s minimal involvement is another significant gap. Its lack of active participation in reviewing the legal enforceability of RS operations or admissions raises concerns about the issuance of admission letters and the enforceability of agreements with RS participants.

42. The governance structure of the RMA RS suffers from overlapping mandates, conflicts of interest, and insufficient inter-departmental coordination. The steering committee’s (SC) dual strategic and operational responsibilities undermine its governance role, while the TE&CC’s broad mandate and inclusion of non-regulatory representatives compromise its operational effectiveness. Addressing these issues requires a clearer separation of responsibilities, streamlined roles for the TE&CC, and enhanced departmental coordination with dedicated staffing. These changes will strengthen the RS’s governance and improve its overall effectiveness.

43. Recommendation: Subsequent to the board-level recognition and assessment of the RS as a strategic priority, the RMA should establish a dedicated team with full-time staff from key departments for the RS program. Enhanced coordination and governance will ensure the RS fosters innovation while safeguarding the financial system.

F. Resourcing

44. The RS currently operates without dedicated full-time resources, relying instead on ad hoc contributions from supervisory units. While this approach allows for diverse skills to be applied, it

¹⁷ [FinTech Regulatory Sandbox Framework \(June 2020\)](#)

creates challenges in managing the demands of RS activities alongside conventional supervisory responsibilities. This lack of dedicated staffing risks distracting attention from other critical regulatory priorities.

45. The compressed RS lifecycle—from approval (1–2 months) to testing (up to 6 months)—demands intensive supervision with frequent reporting and monitoring. These demands are more intensive than those applied to traditional regulated entities, further straining RMA's limited resources. Without dedicated personnel, it is difficult to ensure consistent oversight while maintaining the quality of supervision for other regulatory activities. Moreover, the stipulated timelines themselves pose significant challenges, as reviewing applications often takes considerably longer than two months, especially for complex or novel innovations. Similarly, testing periods usually extend beyond six months in sandboxes globally due to the need for thorough evaluation of real-world impacts and adjustments, as highlighted by the World Bank and OECD reports on regulatory sandbox frameworks.¹⁸

46. Operating an RS is inherently resource intensive. Costs include staff salaries, adjustments to application systems, outreach programs, and policy/legal support. Globally, RS costs can range from a few hundred thousand to over a million USD annually.¹⁹ Currently RMA offers RS participation at no cost which is unsustainable, especially given RMA's constrained resources. Introducing a fee structure could also help filter out undercapitalized or risk-prone applicants.

47. Recommendation: If driving innovation is a priority, RMA should allocate full-time resources to the RS and reassess the sustainability of offering free participation. As the fintech ecosystem matures, a reasonable fee structure should be introduced to ensure financial sustainability and discourage riskier applicants.

G. Governance Structure: SC and TE&CC

48. The dual governance structure of the RMA RS consists of the SC and the TE&CC. While these committees were designed to provide strategic oversight and operational support, their implementation has created conflicts of interest, inefficient decision-making, and gaps in accountability.

49. The SC is the governance-level committee tasked with developing strategies, reviewing policies, approving RS applications, and deciding on discontinuation of tests. However, the SC's broad mandate, which includes both strategic and operational responsibilities, dilutes its ability to function effectively as a governance body. For instance, its involvement in operational-level decisions, such as approving individual RS applications or deciding when to discontinue tests, risks undermining the

¹⁸ For challenges with testing timelines in regulatory sandboxes, see World Bank (2022), "How to Build a Regulatory Sandbox: A Practical Guide for Policy Makers," p. 39, available at <https://digitalfinance.worldbank.org/sites/default/files/2022-11/How-to-Build-a-Regulatory-Sandbox-A-Practical-Guide-for-Policy-Makers.pdf>; and OECD (2020), "The Role of Sandboxes in Promoting Flexibility and Innovation in the Digital Age," p. 12, available at https://www.oecd.org/content/dam/oecd/en/publications/reports/2020/06/the-role-of-sandboxes-in-promoting-flexibility-and-innovation-in-the-digital-age_ddcd3d40/cdf5ed45-en.pdf.

¹⁹ CGAP. (2022, September 29). Running a sandbox may cost over \$1M, survey shows. Source: <https://www.cgap.org/blog/running-sandbox-may-cost-over-1m-survey-shows>

accountability of frontline supervision teams. This imposes redundant supervisory tasks on an already resource-constrained structure.

50. SC's role in granting access to RS and testing outcomes further blurs the lines between strategic oversight and operational execution. At present, there is little evidence that the SC has set a cohesive strategy for the RS, as indicated by the continued breadth of activities it oversees. The lack of a clear strategic direction has resulted in inefficiency and fragmented oversight.

51. Recommendation: The SC's role should be limited to setting the RS's strategic direction and approving high-level recommendations. Operational responsibilities should be delegated to the TE&CC or dedicated teams.

52. The TE&CC is an operational-level committee tasked with assessing RS applications, recommending approvals to the SC, supervising RS tests, and promoting new technologies. However, the dual responsibility for evaluating applications and conducting ongoing supervision creates inherent conflicts of interest. For example, the same committee that recommends approval decisions is also responsible for monitoring compliance during testing, compromising impartiality in both functions.

53. The inclusion of non-regulatory and private sector representatives in the TE&CC provides a valuable industry perspective but amplifies potential conflicts of interest. While external perspectives can add value, their participation in approval and monitoring/supervisory decisions at the operational level risks eroding the fairness and impartiality of the RS's regulatory processes. This could undermine consumer and industry confidence in the RS's operations. To preserve industry input while mitigating conflicts, non-regulatory members should be migrated to the SC where strategic industry insight is valuable, while keeping the TE&CC focused on operational regulatory functions.

54. The TE&CC's mandate to "review barriers and reforms needed to promote new technologies" strains its capacity and creates confusion about its responsibilities. This broad scope dilutes its ability to focus on core operational tasks, such as application approval assessments.

55. Recommendation: TE&CC's role should focus exclusively on operational tasks, such as application reviews. Broader strategic tasks should be reassigned to committees with appropriate expertise.

H. Risk Tolerance

56. A RS inherently involves elevated risks, including reputational, financial, and systemic risks. However, the RMA has not defined a clear risk tolerance framework, exposing itself to inconsistencies in risk management. Without this framework, the RS faces challenges in balancing innovation with regulatory oversight. With an admission rate exceeding 70 percent,²⁰ the lack of this framework amplifies challenges in balancing innovation with regulatory oversight.

²⁰ The second cohort had 11 applicants from which 8 were admitted initially with 6 now remaining.

57. The absence of a risk tolerance mechanism has resulted in the inclusion of projects without assessing potential client losses or the likelihood of failure. Testing with retail clients, for example, introduces higher risks, such as financial losses and regulatory non-compliance, but no safeguards or thresholds have been established to mitigate these risks. Additionally, startups with limited resources have been admitted without requiring partnerships with licensed institutions, increasing the likelihood of operational failure.

58. The lack of a structured approach to addressing regulatory failures, such as fraud, bankruptcy, or non-compliance, has further complicated reputational risk management. This is particularly problematic in cases where RS participants are intended to target retail clients, amplifying potential reputational damage to the RMA.

59. Recommendation: The RMA should establish a formal risk tolerance framework, expressed in terms of low, medium, or high risk. This framework should define acceptable thresholds for client losses, regulatory failures, and reputational risks. Safeguards for retail client participation should include limits on business activity and loss exposure, while a “stop-loss indicator” should be introduced to enable timely intervention. Additionally, RMA should mandate comprehensive testing plans with KPIs and risk mitigation strategies. This framework is designed to balance innovation with appropriate safeguards, enabling measured experimentation within clearly defined risk parameters while maintaining the regulatory oversight necessary to protect financial stability and consumers.

I. Eligibility Criteria

60. The RMA’s eligibility criteria, as outlined in the FinTech Regulatory Sandbox Framework (June 2020), are broad and lack crucial elements, leading to inefficiencies in resource allocation and misaligned admissions. The current criteria include requirements for innovation, financial resources, and viability, but they omit key considerations such as character and fitness requirements or operational readiness. The eligibility criteria articulated by the RMA include:

- The applicant must conduct sufficient market due diligence and prove the proposed solution is substantially innovative.
- The solution must be novel and address a gap in the financial ecosystem (No. 1 from TOR).
- Applicants must demonstrate sufficient financial, personal, and infrastructure resources.
- The application must demonstrate viability and sustainability (No. 3 from TOR). TOR 5 addresses fitness but not character.

61. While these criteria are important, they are insufficient to ensure quality applicants. For example, the absence of a character and fitness requirement increases the risk of admitting entities operated by individuals lacking appropriate skill sets or with questionable integrity, which can impact the regulator’s reputation. Additionally, the lack of an operational readiness requirement has burdened the RMA with evaluating ideas that are not market-ready, diverting supervisory resources from more impactful projects.

62. Recommendation: The RMA should refine and publish its eligibility criteria to include character and fitness requirements, as well as a demonstration of operational readiness including for instance – having a prototype which is ready for testing. These refinements will help filter out unsuitable applicants

and ensure the RS admits only viable, innovative projects. For example, frameworks like the UK FCA require "genuine innovation," consumer benefits, and readiness for testing.

63. For instance, in regard to Innovation: Determine whether the product or service is genuinely innovative, offering a novel approach or solution. Second, Consumer Value: Assess whether the application addresses a critical need, such as promoting financial inclusion or enhancing efficiency in payments. Third, Readiness: Evaluate if the solution is mature enough for live testing, ensuring it is adequately developed and functional. These criteria will help effectively filter applications and prioritize the most promising solutions.

64. The RS TOR outlines five principles, but they overlap with, expand on, or add inconsistently to the 2024 Implementation Strategy, while neglecting key criteria like character, operational readiness, and financial viability. In some cases, the five principles overlap with the criteria noted in the 2020 RS Framework, in some cases expand upon the criteria, and in other cases add to the criteria. For example, the TOR does include criteria related to fitness but still does not address character, operational readiness, or financial viability. The five criteria from the TOR include:

- A. **Novelty** - original innovation aligned with the Digital strategy/thematic areas to improve and enhance customer experience by involving local talent in the development of system, operation, maintenance, including knowledge transfer.
- B. **Complementarity** - by providing use cases to access the co-financing functionality with the existing banks that complement the prevailing digital financial services and products.
- C. **Viability** - by providing business strategy and plan, solution deployment road map, test scenarios and boundaries along with the expected outcome to validate the ability of a fintech's services/products to mature and have a broader market reach to financially sustain itself.
- D. **Compatibility** - ensure compliance with the existing applicable regulations and laws including AML/CFT, consumer protection and data privacy, safeguards against cyber threats and technological feasibility/neutrality of the proposed solutions; and
- E. **Capability and Credibility** - The need for inclusion and development of local talent and in case of external partnerships, the external partners must also be credible and have some experience and expertise.

65. Recommendation: as part of the RMA's exercise to refine and publish the eligibility criteria in the 2020 Framework/ 2024 Implementation Strategy, it should also review and refine the criteria in the TOR and ensure the 2 sets of criteria align also including character, operational readiness, and financial viability.

J. Restriction Setting Process

66. The RMA's RS lacks a structured process for setting restrictions on business activity, making it challenging to balance testing effectiveness with risk management. Restrictions should consider the minimum scale of business activity required for effective testing, the maximum scale permissible within risk tolerance, and the impact of adverse outcomes.

67. Not all business models are suitable for testing in a restricted environment. For instance, cryptocurrency exchanges or digital only banks for instance often require activity levels that exceed what

can be safely permitted in a RS and they carry inherent risks that cannot be appropriately mitigated in a RS environment. The absence of restrictions creates the risk of overexposure to systemic risks or inadequate testing outcomes.

68. Recommendation: The RMA should establish and disclose clear restrictions upfront aligned with its risk appetite. These restrictions should be determined on a case-by-case basis depending on the risk profile and operational characteristics of each product or service being tested. This approach ensures that testing is conducted on a manageable scale while minimizing systemic risks, with tailored safeguards appropriate to each participant's specific activities.

K. Operational Guidelines and procedural documentation

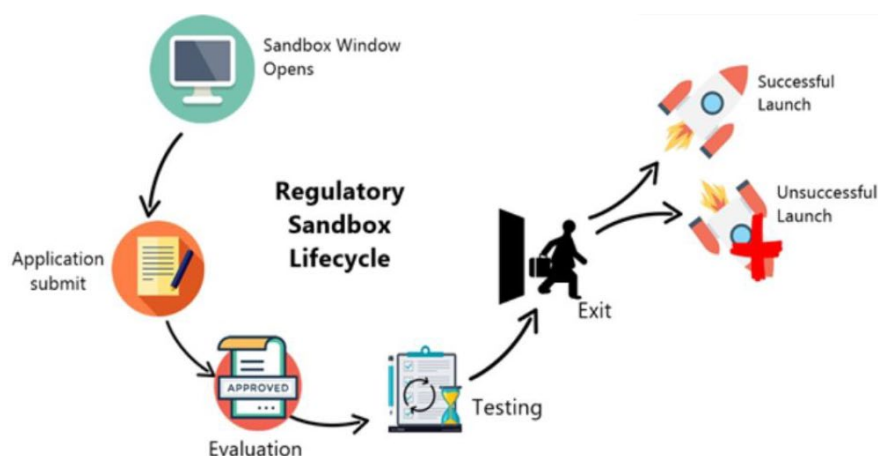
69. The lack of a consolidated procedural manual for RS program approval and supervision has led to operational inconsistencies and heightened regulatory oversight risks. While some parts of the procedural elements used for overseeing conventional financial services can be applied, the unique nature of RS activities requires tailored procedures to address its distinct challenges.

70. A lack of clear guidelines has resulted in inefficiencies in assessing eligibility, monitoring progress, and coordinating inter-departmental collaboration. Supervisory tasks such as developing testing plans, tracking progress metrics, and managing exits require specialized processes that differ from traditional regulatory frameworks. The absence of standardized documentation also raises concerns about transparency and accountability in RS operations.

71. From a regulatory and supervisory perspective, the lack of a procedural documentation manual undermines consistent application of oversight mechanisms. Without clearly defined processes, there is a heightened risk of regulatory failures, such as inadequate monitoring of testing activities or delayed responses to compliance breaches. Furthermore, the absence of procedures for coordinating among departments exacerbates inefficiencies, as roles and responsibilities remain unclear.

72. Recommendation: The RMA should develop a comprehensive set of standardized RS procedures to ensure effective supervision. The procedures should cover eligibility assessments, testing plans, progress monitoring, and stakeholder engagement. The procedures should also address the fintechbhutan.bt website and set requirements and minimum standards for disclosures, stakeholder messaging, procedural information, timelines, supervisory expectations, etc. that should be made available to external stakeholders and interested applicants. As part of the exercise, RMA should also review, and update as necessary, the timelines in the "RS Lifecycle Process" (see below). Additionally, the RMA should conduct annual evaluations of the RS program and share findings transparently with stakeholders to inform continuous improvement.

Figure 1. RMA Regulatory Sandbox Lifecycle



1. Application (30 Days)	2. Evaluation (60 Days)	3. Testing (6 Months)	4. Sandbox Exit
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Source- RMA FinTech RS Implementation Strategy 2024, Pg.4

L. Exit Strategy

73. The absence of a clear exit strategy in RMA's RS framework creates uncertainty for both participants and supervisors.²¹ Without predefined pathways—such as licensing, granting regulatory waivers, or feedback mechanisms for unsuccessful tests—firms completing the RS testing face ambiguity regarding their next steps. This could discourage participation from high-potential innovators who require clarity about their market entry prospects after testing. Moreover, RMA is left without a structured process to evaluate whether RS-tested innovations are ready for full-scale deployment, undermining the RS's goal of fostering innovation responsibly.

74. This gap also complicates regulatory oversight by failing to establish mechanisms to handle post-testing risks. For instance, RS framework allows applicants to graduate from the sandbox without proper licensing or regulatory adjustments and thus may operate in a gray area, potentially exposing consumers to unregulated services and increasing systemic risks.²² The Spain's RS experience demonstrates that unclear exit processes can lead to inefficiencies, with only a small fraction of RS participants successfully transitioning to the market.²³ Similarly, RMA faces challenges in ensuring that RS outcomes translate into meaningful regulatory learning or long-term market impact.

²¹ As emphasized in the [CGAP Technical Guide \(2021\)](#) and the [IMF FSAP for Spain \(2024\)](#).

²² [IMF Fintech Note \(June 2023\); Institutional Arrangements for Fintech Regulation: Supervisory Monitoring](#).

²³ [IMF FSAP Technical Note on Spain's Fintech Ecosystem \(IMF, 2024\)](#)

75. Recommendation: Define clear exit pathways, including streamlined licensing for successful tests, detailed feedback for unsuccessful participants, and regulatory adjustments to enable market entry where necessary.

IV. Broader Challenges Impacting the Operation of the Sandbox

A. Challenges, Risks and Limitations in Bhutan Fintech Ecosystem

76. In Bhutan's small economy, limited market size, and regulatory constraints pose significant challenges for RMA efforts towards driving innovation and fintech regulation and supervision efforts. With a population of only 795,000²⁴ and annual tourist arrivals of 315,599,²⁵ the country's domestic market offers limited opportunities for scaling financial services. This restricts the ability of start-ups and local financial institutions to achieve sustainable business models, discouraging private investment and innovation. Additionally, the RMA's payment fee restrictions further hinder revenue generation, creating significant monetization barriers for both start-ups and incumbent financial institutions. The combination of these factors puts pressure on the financial ecosystem, increasing the likelihood of service disruptions, institutional failures, and a lack of consumer trust, which could undermine financial stability.

77. The risks extend beyond financial stability to include operational, regulatory, and cross-border challenges. Regulatory oversight becomes increasingly complex as the RMA must manage the dual goals of fostering innovation and ensuring consumer protection, all while addressing risks such as cybersecurity threats, fraud, and anti-money laundering compliance. Furthermore, Bhutan's reliance on niche markets like cross-border remittances and tourism-related²⁶ financial services expose the sector to external shocks and foreign exchange risks. To mitigate these issues, it is crucial to implement targeted reforms, such as exploring alternative revenue models for financial institutions, incentivizing partnerships between start-ups and local banks, and focusing on solutions tailored to Bhutan's unique economic and cultural priorities. These measures would support sustainable fintech growth while safeguarding the country's financial system.

B. Legal and Regulatory Risks

78. The absence of clear legal provisions for issuing LoAs and regulatory waivers can expose the RMA to legal, regulatory, and reputational risks. The absence of explicit legal provisions governing the issuance of LoAs and regulatory waivers within the Royal Monetary Authority Act of Bhutan 2010 (RMA Act 2010) and the Financial Services Act of Bhutan 2011 (FSA Act 2011) exposes the RMA to significant regulatory and supervisory risks as it raises questions about the scope and clarity of the RMA's authority over RS activities. While the RMA's broad enabling provisions under Sections 8, 9, and 184 provide a foundation for RS activities, their applicability to RS participants, such as IT developers or

²⁴ International Monetary Fund (IMF). Bhutan and the IMF. Source: <https://www.imf.org/en/Countries/BTN>.

²⁵ World Bank. International tourism, number of arrivals - Bhutan. Source: <https://data.worldbank.org/indicator/ST.INT.ARVL?locations=BT>.

²⁶ Bhutan's tourism sector faced a sharp decline due to the COVID-19 pandemic and the imposition of the new Sustainable Development Fee (SDF) in 2022, which significantly increased daily tourist costs. Source: BTI Project. Bhutan Country Report. Accessed September 18, 2025. [<https://bti-project.org/en/reports/country-report/BTN>].

entities outside the financial sector remains unclear. There is lack of clarity regarding the RMA's remit in engaging with non-financial entities through the RS framework. Further, the issuance of LoAs to non-licensed entities and the granting of regulatory waivers lack detailed procedural guidelines or an explicit legal mandate. This further creates ambiguity in enforcing RS conditions, revoking permissions, or addressing disputes, especially if participants fail to comply with testing requirements. Such gaps could lead to challenges from stakeholders, including accusations of overreach, thereby undermining the credibility of the RMA as a financial regulator. Since no testing has commenced and no firms have graduated from the RS, addressing these ambiguities would strengthen the framework and ensure alignment with the RMA's regulatory mandate.

79. The lack of a clear legal framework for granting regulatory waivers further compounds the risks, particularly as these waivers temporarily exempt participants from compliance with existing laws during RS testing. Without explicit provisions or structured guidelines, the RMA may face difficulties in ensuring that participants adhere to RS conditions or transition to full compliance post-testing. This could result in misuse of relaxed regulations, legal challenges, and reputational damage to the RMA. To mitigate these risks, the RMA should formalize RS-related activities by issuing clear procedural rules or amending its governing legislation to explicitly address the issuance of LoAs and the process for granting temporary waivers. Such measures would not only enhance enforceability but also strengthen the RMA's position as a credible and innovation-enabling supervisor.

C. Data Privacy and Protection Challenges in the RS Program

80. The RMA's RS program faces significant regulatory, operational, and compliance challenges, particularly regarding data privacy, protection, and collaboration with domestic banks. The RS relies (as currently envisaged) on offline data from domestic banks, which is planned to be anonymized internally by the RMA and shared with developers in RS for testing, including those tied to foreign entities. The RMA Guidelines on Data Privacy and Data Protection 2021 permit banks to share data externally with specific parties under defined conditions. Banks can share data with third-party service providers and partners (e.g., fintech startups and IT vendors) provided strict contractual obligations are in place, as required by Section 4.10. Additionally, banks may share data with regulators, such as the RMA, but only for purposes related to supervision, compliance, and regulatory requirements, as outlined in Section 4.6. Since RS testing involves experimental use cases and partnerships with third-party developers, it falls outside the defined scope of supervision and compliance, making it subject to separate consent and contractual safeguards as per Sections 4.5 (Consent) and 4.10 (Third-Party Data Processors).

81. There is absence of a transparent and well-defined strategy for data anonymization in RMA's RS program as required under the RMA Guidelines on Data Privacy and Data Protection 2021. As per the sandbox testing process currently envisaged under the RS program, customer data taken from commercial banks will be anonymized by RMA and will be shared with entities for testing in the sandbox. RMA is exploring to have an API based testing framework to operationalize this data

sharing going forward. In this respect, Privacy by Design and Default principles of the RMA²⁷ (Section 4.8), raises the risk of data leaks, re-identification of sensitive personal data, and cross-border exposure. The lack of mandatory Privacy Impact Assessments (PIAs), as also required under Section 4.8, further compounds these risks, creating potential gaps in compliance with the lawful processing requirements of Section 4.4 of the RMA Guidelines on Data Privacy and Data Protection 2021. Sharing anonymized data with foreign-linked entities (as many current applicants admitted in the RS are in partnership with foreign developers) without robust safeguards also exposes the RMA and the financial sector to reputational and legal risks, especially as the guidelines mandate strict contractual obligations for third-party data processors (Section 4.10). Furthermore, the absence of explicit customer consent for data sharing, as required under Section 4.5, raises significant compliance concerns, as RS data-sharing is not currently mandated by law.

82. Operational challenges with intended data sharing model reveal gaps in the RS framework that may affect its effectiveness. Banks express reluctance to share data for sandbox solutions they were not consulted on during the assessment phase. A particular concern is providing data sets to small startups intending to offer technology-driven provision in financial services, as these entities often lack corporate-grade tech stacks that meet bank security standards and adequate data protection safeguards comparable to regulated entities. Although two regulated commercial banks sit on the TE&CC, they were not actively involved in the second cohort, which has limited trust and collaboration. The planned API-based testing faces resistance due to resource constraints and strategic misalignment. These challenges point to gaps in the RS framework—the absence of comprehensive data protection rules, clear security standards, liability provisions, and participant obligations creates uncertainty for banking sector participation. Without addressing these framework gaps, the RS program may face practical difficulties in securing bank cooperation, as institutions remain cautious about potential legal and operational exposures, which could limit the sandbox's overall effectiveness

83. The RS framework lacks adequate legal basis for data sharing arrangements. While the TE&CC TOR Section 1.2.1 (d) assigns the committee responsibility to 'coordinate and liaise with stakeholders for access to data and integration for testing the application through the creation of Fin Lab, there is no underlying statute or regulation that authorizes RMA to require regulated financial institutions to provide such data. Additionally, there is no evidence that customers have consented to financial institutions sharing their information with RMA or sandbox participants for testing purposes. These legal gaps create regulatory uncertainty and potential compliance risks for both RMA and participating banks.

D. Sustainability Challenges: Financial Viability and Human Capital Constraints

84. The RMA's RS program faces significant challenges in terms of sustainability, human resource constraints, and financial viability. An RS is inherently resource-intensive, requiring substantial financial investments, specialized personnel, and dedicated regulatory support infrastructure. They involve bespoke application mechanisms, customized review processes, and oversight committees composed of senior management, alongside policy and legal support to address activities that may not

²⁷ Royal Monetary Authority of Bhutan. Guidelines on Data Privacy and Data Protection, 2021. Source - https://www.rma.org.bt/media/Laws_By_Laws/Guidelines%20on%20Data%20Privacy%20and%20Data%20Protection%202021.pdf

align with the existing regulatory framework. When factoring in staff costs, adjustments to application systems, and outreach efforts, the annual cost of maintaining a RS can range from a few hundred thousand USD to over a million USD. According to a CGAP survey, the annual cost of maintaining a RS can range from USD 25,000 to over USD one million, depending on factors such as the number of full-time employees and the extent of market engagement.²⁸ Jurisdictions with higher budgets and more dedicated personnel were able to process the highest number of applications, underscoring how resource-intensive an RS can be when tailored to meet market demands. Despite these steep costs, the RMA currently offers participation in the RS at no charge, raising concerns about the long-term financial sustainability of the program. Transitioning to a cost-sharing or fee-based participation model could help ensure the continued viability of the RS while enabling it to achieve its objectives.

85. These challenges are further exacerbated by Bhutan’s significant human capital constraints, as the country continues to face high attrition rates and migration of skilled workers to jurisdictions such as Australia, India, Canada, and the United States. Bhutan experienced a civil service attrition rate of 17.2 percent in 2023, nearly six times higher than pre-pandemic levels (IMF, 2024 Article IV Consultation Report). The report highlights that much of this attrition is due to large-scale emigration, with 13,503 student visas granted by Australia between January and October 2023, representing a 67 percent increase from 2022. Additionally, the number of separations from the civil service in 2023 nearly doubled to 5,202 compared to 2022, with education and health sectors being disproportionately affected. This trend has placed a significant strain on Bhutan’s ability to retain and recruit specialized talent, which is critical for managing and overseeing resource-intensive programs like the RS.²⁹

E. Challenges in Industry Engagement and Alignment with Financial Institutions

86. Limited engagement with banks and financial institutions poses a significant challenge for the RMA in aligning its RS with industry needs. Without effective feedback mechanisms from the financial sector, the RMA risks approving sandbox participants whose solutions may not address the most pressing challenges faced by banks and other financial institutions. Some financial institutions have indicated a clear disconnect between the sandbox’s current focus and the operational concerns of banks, particularly regarding the relevance and practical applicability of solutions being tested. This disconnect can result in the sandbox failing to attract meaningful participation from the financial sector or being perceived as irrelevant to market realities, further undermining the effectiveness of the program.

87. From a regulatory and supervisory perspective, this lack of engagement introduces significant risks. The absence of structured industry feedback could result in regulatory blind spots, where emerging risks or trends, such as the adoption of disruptive technologies, go unnoticed. This reactive approach to regulation could undermine the RMA’s ability to maintain financial stability and preempt potential vulnerabilities. Furthermore, the perceived disconnect between the RMA and financial institutions may erode trust, discourage voluntary compliance and reducing cooperation on data sharing

²⁸ CGAP. (2022, September 29). Running a sandbox may cost over \$1M, survey shows. Source: <https://www.cgap.org/blog/running-sandbox-may-cost-over-1m-survey-shows>

²⁹ [Bhutan: 2024 Article IV Consultation](#)

or innovation programs. To address these challenges, the RMA must establish regular consultation mechanisms and promote co-creation of regulatory initiatives to ensure alignment with industry priorities, enhance trust, and improve supervisory effectiveness.

V. Recommendations and Next Steps

88. This section provides a step-by-step work plan to address the structural issues with the RS and associated challenges, as outlined above. The recommendations are designed to build on one another, with some steps running in parallel where appropriate, based on a holistic assessment of the RS, financial sector digitization, RMA's supervisory capacity, readiness for innovation and other resources.

A. Identify Supervisory Priorities

89. The RMA should begin by identifying its supervisory priorities and ensuring that innovation facilitation program align with its strategic goals of financial stability, market development and financial inclusion. A structured exercise should be conducted to determine the innovations which needs to be prioritized over the next 12–18 months and identify the divisions responsible for supporting these initiatives. The RMA should also assess its supervisory technology needs and the financial sector's regulatory and services technology requirements. These include tools such as business intelligence systems, financial crime assessment platforms, high credit borrowers and financial monitoring solutions.³⁰ For example, RMA has identified that the credit bureau does not monitor the borrowing behavior of high credit borrowers. Therefore, lenders have sought assistance from RMA in this regard and RMA is working with IRIS Business Services to develop a solution. Though development of the IRIS solution is not a live RS test, it is a project that could fit within a wider innovation facilitation program designed to support industry needs through mechanisms like innovation hubs or tech sprints for instance. Additionally, priority-setting should focus on addressing key challenges, such as non-performing loans, as highlighted by the DFRS. Clear dissemination of these priorities throughout the organization is essential to ensure alignment.

90. Innovation in the context of the proposed innovation facilitation program involves introducing novel or improved financial products, services, processes, or models that address systemic gaps and deliver measurable benefits to users and the ecosystem. By engaging stakeholders in structured consultations, the RMA could focus sandbox testing and other innovation facilities towards priority areas such as cross-border payments³¹ for instance while aligning with broader goals like adopting regtech and suptech tools.³² A clear definition of innovation will help stakeholders concentrate on impactful advancements rather than routine technological upgrades, ensuring alignment with Bhutan's unique market needs and the specific objectives of each innovation facility within the program.

³⁰ Discussion with RMA dept indicated the need for such tools, with current focus on developing local solutions via RS. However, many such solutions being sought through via RS already have viable implementation in neighboring markets.

³¹ As per priority assigned from GovTech to RMA

³² An internal priority that emerged during discussions with RMA HOD.

B. Conduct Feasibility Study

91. Once supervisory priorities are set, the RMA should conduct a feasibility study to assess the suitability and scope of the RS program. The RS Framework was created without first conducting a comprehensive feasibility study to evaluate legal, regulatory, market, and political economy conditions, as well as regulatory capacity. Such a study would have provided clarity on the need for and suitability of a RS, the resources required, alignment of internal and external stakeholders, complementary regulatory programs (e.g., innovation offices, tech sprints), and potential constraints. For instance, given the talent constraints, the feasibility study should examine strategies for addressing human capital constraints including as talent retention mechanisms such as competitive compensation, training incentives, and career development opportunities. Additionally, the feasibility study should assess the market's appetite and readiness to absorb future fintech solutions, especially if the RMA intends to prioritize such innovations. Without this, the framework shall lack clear objectives, priorities, and sufficient resources.

92. DK Bank, a digital-only bank, was admitted into the financial sector via a restricted license, which the RMA interprets as part of its RS framework. Discussions with RMA staff revealed that, due to the absence of specific provisions in the RMA Financial Services Act for granting waivers, the RS was used as a substitute. This suggests a lack of clarity within the RMA regarding the distinction between an RS and regulatory waivers. Subsequently, the RMA approved DK Bank's collaboration with Binance Pay to offer crypto payment services to foreign tourists in Bhutan, showcasing flexibility in regulatory approaches beyond the reliance on the RS. This highlights the need for a clear and shared understanding of what the RS is and how it impacts all RMA departments—not just IT or DFRS—as the RS is a cross-departmental tool requiring extensive collaboration. Given the RMA's past use of RS to facilitate activities such as licensing DK Bank, it is essential to distinguish between utilizing a RS as an innovation enabler and utilizing it to grant regulatory waivers. The latter risks undermining broader regulatory reform efforts.

93. Accordingly, the feasibility study will help determine the appropriate mechanisms for innovation facilitation. For example, alternative approaches could include:

- Innovation hubs to support proofs of concept and early-stage technology development through regulatory clarification and consultation.
- Tech sprints, which are ideal for solving complex supervisory challenges, such as regtech and suptech development.
- Targeted rule changes, which may sometimes be a more practical response to barriers identified by applicants.

94. Examples from RS cohorts show that many participants' needs did not align with the need for live testing. For instance, Yang Khor Private Limited + Movmint faced legislative barriers under e-money rules, where a policy decision might have been more effective than RS testing. Similarly, D-Pay + FS1 Soft Group's alternative credit scoring model remained at an early proof-of-concept stage, where an innovation office could have provided more appropriate support. The feasibility study should be conducted by an independent third party and include collaboration across RMA departments and the financial sector to ensure objectivity and inclusiveness. The feasibility study should also evaluate the legal and regulatory frameworks governing the issuance of LoAs and regulatory waivers to ensure alignment with RMA's statutory mandate.

C. Reorganize the Governance Structure

95. After the feasibility assessment, RMA should restructure governance for the RS (see Annexure I, II and III) to clarify ownership, responsibilities, and separate governance from operational roles. To achieve this, a dedicated role should be created for a dedicated staff member responsible for overseeing the regulatory sandbox and, over time, a broader innovation facilitation program (see annexure II for the recommended structure). Given the small size of Bhutan's economy, a single role is sufficient to begin with. The individual³³ in this position should have operational responsibility focused exclusively on managing the innovation facilitation program. His/her duties would include oversight and authority over the sandbox operations and other innovation facilities such as innovation hub, tech sprint for instance; monitoring/supervision of participants within the innovation facilitation program; ensuring alignment with regulatory objectives of the RS; international and regional engagement (e.g., on regulatory sandboxes, innovation hubs, and innovation facilitation frameworks); and capacity building for the innovation facilitation program. This role should have separate reporting to management, and if needed, could have secondary operational level reporting line to the SC, and be supported by the TE&CC (see annexure III for the Innovation Facilitation Program structure). The RMA indicated that it currently has 29 open roles. Therefore, it could consider using one of those open roles to satisfy this recommendation, if not adding one additional role.

96. To ensure effectiveness, this role should have appropriate authority and be supported by clearly defined governance structures. To ensure institutional continuity and accountability, this position should be integrated into RS's governance structure. The mandates of the SC and TE&CC should be streamlined to focus on their respective governance and operational level responsibilities for the innovation facilitation program (see Paragraph 99-100 below). Specifically:

- The SC should focus on strategic oversight of the innovation facilitation program, including resourcing, priority setting, and aligning risk tolerance with innovation initiatives. It should also oversee external engagement with private sector enterprises and government entities. Key activities should include annual program and risk tolerance reviews, set annual priorities, and conducting periodic feasibility studies for innovation facilities and regulator sandbox. The SC should provide strategic guidance to the dedicated role created for the innovation facilitation program.
- TE&CC should focus on operational tasks, such as assessing innovation program applicants and making recommendations for approval or denial to the dedicated role (See Paragraph 95 above). While TE&CC already has a well-thought-out application scoring and assessment process involving subject matter experts from relevant RMA divisions, its current mandate is overly broad and should be narrowed to focus on participant assessment and monitoring within the innovation facilitation program only.

³³ Given RMA's organizational structure includes both departments and specialized units for certain functions, this role may be at unit head level rather than senior director level, but should have sufficient authority and accountability to manage the innovation facilitation program effectively.

D. Rebrand and Broaden the RS Program

97. RMA should also ensure that the composition of these committees aligns with their respective mandates. For instance, non-regulatory members of the TE&CC should be migrated to the SC to reduce conflicts of interest at the operational level and to enhance industry insight and engagement at the strategic level.

98. To address the scope and alignment issues identified above, RMA should rebrand and restructure the RS framework as follows:

99. Rebrand and expand the RS into a comprehensive Innovation Facilitation Program that includes multiple innovation tools and facilities. After RMA has completed a feasibility study, RMA should define "innovation" within the context of its mandate and articulate clear, realistic, and measurable objectives for the program. While the regulatory sandbox should remain a core component, the RMA should construct an innovation facilitation program of wider scope. The program should start with limited focus and include an innovation hub, or similar facility, to support proofs of concept and early-stage technology development. For participants developing regulated financial services and products, the program should include a pathway from proof of concept to live sandbox testing, where applicable. For participants developing technologies for regtech and suptech use cases, the program should provide a path to potential procurement and/or industry deployment or alternatively explore tech sprints as an alternative. These pathways should be a consideration of the SC.

100. A RS is a tool to enable live testing of fintech products and services with real customers and is only one tool within an innovation facilitation program. Keeping in mind that of the 6 participants in RMA's current cohort, 4 are testing proofs-of-concept, 2 are developing suptech solutions, and none are conducting live testing with real customers, RMA should develop other tools to support technology development activities that do not require live testing with real customers, such as proofs-of-concept and regtech/suptech solution development. Regtech and suptech solutions, while valid innovation as recognized by the IMF's Fintech Note 2023/004,³⁴ have procurement-oriented testing requirements that differ from consumer-facing products. Tech sprints—time-bound collaborative events where regulators work directly with technology providers to solve specific supervisory challenges, —may be more suitable than a sandbox for regtech/suptech development. Other tools could include an innovation office/hub that provides regulatory clarification, consultation, and service/product feedback; an accelerator program that facilitates mentorship and development support between established enterprises and startup and early-stage start-ups offering fintech solutions.

101. The strategic risks of operating an RS are trying to make it do too many things, serve too many stakeholders, and address too many objectives. Well-crafted and focused objectives assist in setting the parameters for the purpose of the RS (e.g., product testing, policy testing) and act as a safety to mitigate scope creep. Overly broad objectives don't provide necessary clarity to market participants,

³⁴ Parma Bains, and Caroline Wu. "Institutional Arrangements for Fintech Regulation: Supervisory Monitoring", Fintech Notes 2023, 004 (2023), accessed November 7, 2025, <https://doi.org/10.5089/9798400245664.063>

put excess strain on operational resources, and risk detracting focus from mission critical matters the RS was originally designed to address.

102. The RMA should align its RS program with global guidance to enhance its credibility and effectiveness. For instance, the RMA can draw on resources such as the IMF's "Institutional Arrangements for Fintech Regulation: Supervisory Monitoring" (Fintech Note 2023/004), the World Bank's "Global Experiences from Regulatory Sandboxes", and International Organization of Securities Commission's (IOSCO) "The Use of Innovation Facilitators in Growth and Emerging Markets: Final Report."³⁵ These reports provide critical insights into structuring a fintech RS, including the establishment of clear objectives, robust governance frameworks, and effective risk management strategies. Furthermore, CGAP and World Bank's publication "How to Build an RS" highlights the importance of complementary tools like innovation hubs and digital sandboxes to create a comprehensive innovation ecosystem.

103. RMA should enhance the RS by incorporating recommendations from Section 4 to strengthen its objectives, risk management, governance, and operational framework. In the process of complementing the RS with other innovation facilitation tools, RMA needs to ensure to incorporate the recommendations noted in Section 4 – Assessment of the RMA's Regulatory Framework, noted above, that include review and enhancement of objectives, risk tolerance, eligibility criteria, restriction setting process, operational guidelines and manuals, focus and purpose of the RS, resourcing, exit strategy, governance structure, and addressing overlaps and gaps: the RS as a reactive mechanism. The framework should also define structured exit pathways, including licensing procedures for successful participants and feedback mechanisms for those unable to transition to market deployment.

E. Foster Bank-Fintech Collaboration.

104. Collaboration with banks and financial institutions should be a cornerstone of the regulatory sandbox and broader innovation facilitation program. Such collaboration should be undertaken in parallel with governance reorganization and rebranding efforts. Given RMA's heavy reliance on commercial banks and their critical role in Bhutan's financial ecosystem, banks can address many of the challenges currently faced by sandbox participants, such as access to datasets and operational readiness. A strategic shift should encourage partnerships between fintech startups, IT developers, and banks from the outset of sandbox participation.

105. Rather than relying on RMA to provide offline datasets for testing, RS participants should be required to collaborate directly with banks. Establish structured consultation forums to ensure alignment between RS program objectives and the needs of financial institutions, enabling co-creation of solutions and fostering stronger bank-fintech partnerships. This approach ensures that banks are committed from the beginning, enabling them to share data, align innovation initiatives with their needs, and provide early-stage feedback. Such partnerships will not only facilitate more effective testing but also

³⁵ [Technical Guide – How to Build a RS: A Practical Guide for Policymakers.](#) Ivan Jenko and Schan Duff. September 2020.; [IMF Fintech Note \(June 2023\); Institutional Arrangements for Fintech Regulation: Supervisory Monitoring](#); [World Bank's "Global Experiences from Regulatory Sandboxes"](#); [IOSCO's "The Use of Innovation Facilitators in Growth and Emerging Markets: Final Report"](#)

create clarity and stronger pathways for the ultimate adoption of solutions by banks. By fostering these collaborations early, “Innovation Facilitation Program” can ensure that solutions developed are practical, scalable, and aligned with market realities. This will help address Bhutan’s challenges, such as financial inclusion, operational efficiency, and the expansion of financial services to underserved populations.

F. Collaborating with GovTech on all Innovation Related Initiatives

106. In addition to the governance restructuring, RMA should strengthen its collaboration with GovTech to promote alignment of priorities and efficient administration of mutually beneficial projects related to the innovation facilitation program. The RS framework aligns with Bhutan’s GovTech Digital Strategy: Intelligent Bhutan, as outlined in Clause 4 of Section 4.2 (Adoption of Technologies) in the Bhutan Digital Economy Strategy (2023).³⁶ Specifically, the RS supports objectives under Clause 4.2.4, which emphasizes a fintech strategy focusing on a ‘multi-channel robust digital payment system and digital currencies’. While GovTech holds a seat on RMA’s board, its engagement with the RS program has been limited. GovTech’s mandate includes facilitating collaboration in support of Bhutan’s national Digital Strategy — Intelligent Bhutan — which emphasizes the development of a digital government. Two participants in the current RS cohort (Timble Glance and Iris Business Services) are developing tools within the sandbox to support RMA’s credit risk and financial crime monitoring. These tools for instance could be of broader application across government services and may align with GovTech’s priorities. Similarly, GovTech’s expertise and initiatives could support RS participants in the innovation facilitation program.

107. To maximize the RS’s impact, RMA should formalize GovTech’s existing role within the RS governance structure. GovTech already has a seat on the SC committee of the RS existing governance structure. However, given the resources at GovTech, it should be encouraged to more actively participate in both the SC and the TE&CC to ensure alignment of RS objectives with national digital priorities (as this is one of the mandate with which RS was set up by the RMA). This collaboration will help ensure that tools developed by RS participants have broader applicability and impact across both the financial and public sectors.

G. Regional and International Cooperation

108. Attention is needed for regional and cross-border collaboration, and engagement with standard-setting bodies for further refinement of the RS framework. Cross-border collaboration is critical for expanding Bhutan’s market reach, fostering regional partnerships, and strengthening the resilience of its financial ecosystem is essential for the success of the innovation facilitation program. To achieve this, the RMA should develop a comprehensive strategy to engage with neighboring countries and actively participate in financial innovation and regulatory networks for further refinement of its innovation facilitation program. Such efforts will enable Bhutan to harmonize standards, facilitate knowledge sharing, and attract international fintech participants.

³⁶ UNDP Bhutan. Digital Development and Transformation Strategy. May 2024. Source - https://www.undp.org/sites/g/files/zskgke326/files/2024-05/UNDP_Bhutan%20Digital%20Development%20and%20Transformation%20Strategy.pdf.

109. In relation to RS, a key step would be to formalize bilateral and multilateral fintech agreements with regional partners, particularly with countries from where the RMA is receiving applications . These agreements could focus on regulatory alignment and joint initiatives focusing on mutual priorities in relation to the RS, innovation hubs, tech sprints for instance. In parallel RMA could also prioritize engagement with Standard-Setting Bodies (SSBs) by tracking their fintech-related publications and voluntarily participating in relevant working groups, including those of the Basel Committee on Banking Supervision (BCBS), IOSCO, and International Association of Insurance Supervisors (IAIS), to align Bhutan's practices with global best practices in relation to RS, innovation hubs, tech sprints for instance. Additionally, the RMA should join global innovation networks such as the Global Financial Innovation Network (GFIN), which facilitates collaboration on common challenges like cross-border RS testing and provides benchmarks against global standards.

110. Responsibilities for cross-border collaboration and SSB participation should be assigned to the head of innovation facilitation , supported by RMA's international relations staff. By centralizing these responsibilities, the RMA can efficiently manage cross-border collaboration, leverage global guidance, and position Bhutan as a regional hub for innovation facilitation related to regulatory sandboxes, innovation hub and tech sprints. These efforts will also ensure Bhutan's financial ecosystem is resilient, future-ready, and globally aligned. This individual would:

- Track developments and guidance from SSBs and multilateral institutions regulatory sandboxes, innovation hubs tech sprints for instance.
- Monitor global fintech/innovation trends to identify opportunities for Bhutan's financial ecosystem.
- Ensure Bhutan remains aligned with international best practices in terms of regulatory sandboxes, innovation hubs tech sprints for instance.

H. Develop Capacity Development Program for Innovation Facilitation Program

111. To foster a culture of innovation, RMA should implement a capacity development program focused on RS. This program should focus on upskilling existing human resources with both hard and soft skills related to sandbox management, participant assessment, and emerging technology evaluation and the development of new competencies to cultivate a mindset of change and innovation within the organization to support effective sandbox operations. Additional capacity development for broader innovation facilitation activities, including innovation hubs and tech sprints, would require separate feasibility assessment and resource planning.

112. Given challenges in identifying qualified human resources, the RMA should prioritize:

- Upskilling Existing Staff for Sandbox Operations: Equip staff with knowledge of emerging technologies, regulatory frameworks, and sandbox specific innovation management practices.
- Sandbox and Fintech-Specific Training: Targeted capacity-building sessions are essential to enhance understanding of fintech regulation and supervision, including the RS's purpose, operations, and objectives. This need is evident from engagements where RS mechanisms were misunderstood, as seen in cases like DK Bank's progression through multiple RS cohorts with prudential relaxations.

113. RMA staff require targeted training on assessing and monitoring sandbox environment. This includes understanding the regulatory implications of these innovations being permitted to test in the

sandbox, risk assessment methodologies for emerging technologies, and appropriate safeguards during the testing phase. To address this, the RMA should:

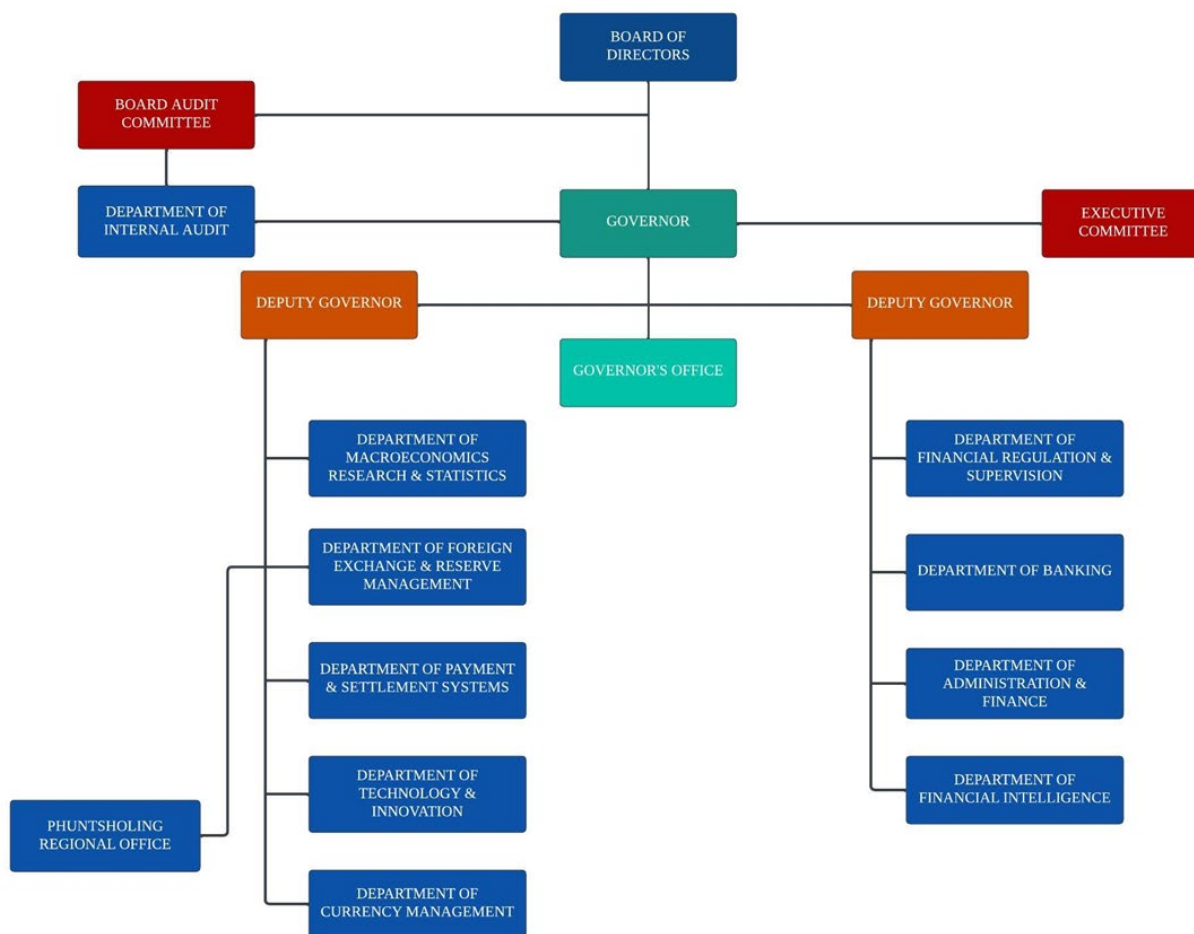
- Develop internal expertise by training staff on innovation facilitation frameworks, including RS operations, objectives, and global best practices to establish consistent definitions and operations.³⁷
- Promote awareness across stakeholders by conducting workshops and roundtables with financial institutions and fintech participants to build shared understanding of RS processes and objectives.
- Institutionalize learning by, as proposed above, identifying a dedicated staff member responsible for the sandbox operations and innovation facilitation program (refer Paragraph 99-100 above for its scope) This person should also take responsibility for driving both internal and external awareness.

114. RMA can address the current gaps in understanding, ensure effective implementation of the sandbox, and create a foundation for broader innovation facilitation initiatives as they are developed. Should RMA decide to pursue broader innovation facilitation tools such as innovation hubs or tech sprints following separate feasibility assessments, additional targeted capacity development would be required for those initiatives. The IMF is committed to supporting RMA in implementing this plan and strengthening its regulatory sandbox framework. The scope and focus of broader fintech regulatory and supervisory capacity development will be aligned with the findings and recommendations of the upcoming FSSR Bhutan to ensure a tailored and effective approach.

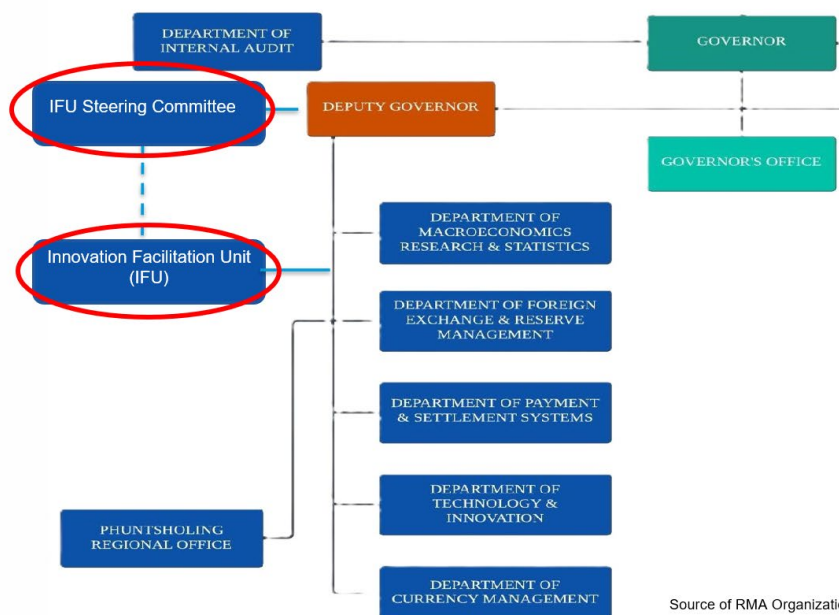
115. The IMF is committed to supporting RMA in implementing this plan and facilitating the process to strengthen its RS regulatory and supervisory framework. However, the scope and focus of this support will be aligned with the findings and recommendations of the upcoming FSSR Bhutan to ensure a tailored and effective approach.

³⁷ IMF course - [Selected Issues in the Regulation and Supervision of Fintech](#)

Annex I. Current Corporate Governance Structure

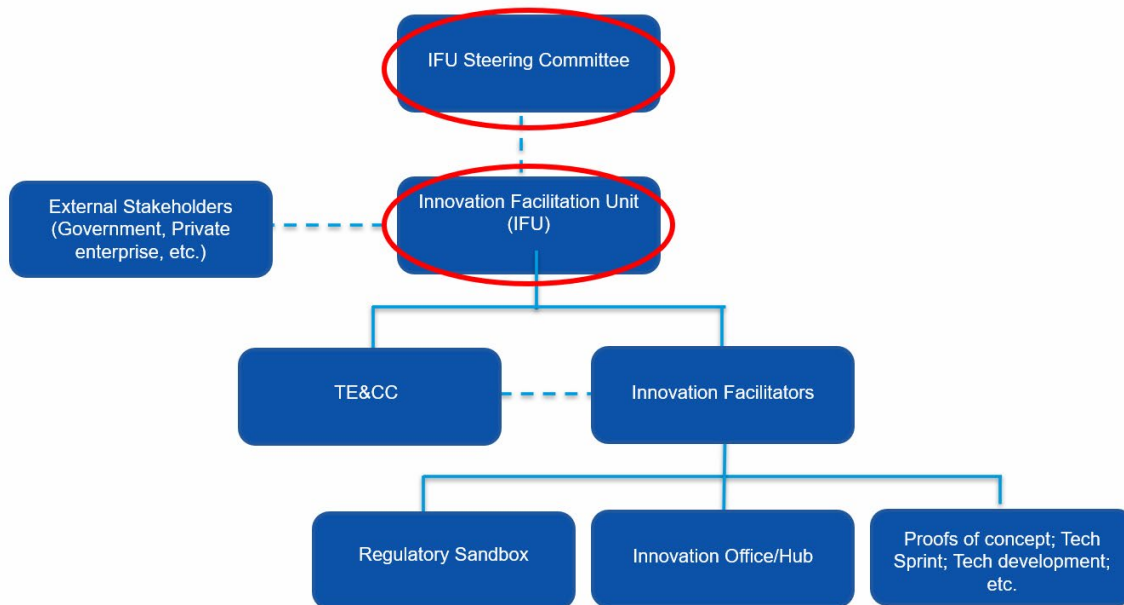


Annex II. Recommended Corporate Governance Structure (left side only)



Source of RMA Organizational chart - <https://www.rma.org.bt/organogram/>

Annex III. Recommended IFU Governance Structure



Annex IV. Training Material



2025-08-25.26_Bhut
an Sandbox training



Final Agenda RMA
Bhutan Aug 25 - Sep



FCA Innovation
Services.pptx



W2 - Establishing a
Sandbox.pdf



W1 - Regulating
Fintech and New Bu



DFSA presentation
Bhutan August 2025